# WARRANTY ATLAS · Georgia (GA)

Law last amended: 2025 (eff. 2025-07-01) · Next scheduled change: none found · Last verified: 2026-09-25 · Built 2026-10-23

Cites: O.C.G.A. § 10-1-641; O.C.G.A. § 10-1-662(a)(13)-(15) (audits, chargebacks, denials); O.C.G.A. §§ 10-1-623, 10-1-666, 10-1-667 (remedies/enforcement)

## Labor reimbursement by coverage type

| Coverage | Status | Paid hours | Pinpoint / date note |
|---|---|---|---|
| **Factory warranty** | **Required** | Factory time (reasonable/adequate standard where stated) | § 10-1-641(a)(1)(D) |
| **Mfr-backed service contract** | **Conditional** | Factory time (reasonable/adequate standard where stated) | § 10-1-622(15) |
| **CPO warranty** | **Not addressed** | - | § 10-1-622(15) |
| **Independent service contract** | **Not reached** | - | § 10-1-622(15) |

Hourly rate: At the dealer's election, 'reasonable compensation'. The principal factors are the dealer's retail rate and rates of similarly situated same line-make dealers in a comparable area. Labor retail rate from 100 sequential nonwarranty customer-paid ROs for warranty-like repairs or 90 consecutive days (whichever less), ≤180 days old: total labor sales ÷ hours. The franchisor may contest within 30 days; commissioner hearing with burden on the franchisor. ≤1 declaration per calenda…

## Audit fields

| Field | Rule | Pinpoint |
|---|---|---|
| **Claim decision** | 30 days; late claim deemed approved: Yes. Disapproval must be specific and in writing. A franchisor may not deny, delay, restrict or bill back a warranty claim unless that is the direct result of a material defect affecting the claim's validity (§ 10-1-662(a)(15)). | § 10-1-641(b)(2); see § 10-1-662(a)(14)-(15) |
| **Payment** | 30 days after approval. Dealer filing deadline: Silent. A claim rejected for clerical error may be resubmitted in corrected form within 30 days (§ 10-1-662(a)(14)). | |
| **Chargebacks** | 12 months; fraud: If the franchisor has reason to believe fraudulent or intentionally f…. The window is measured back from the audit or chargeback notice to the transaction, not from payment. Chargeback only if the franchisor proves by a preponderance that the transaction was fraudulent, intentionally and materially false, not reasonably substanti… | § 10-1-662(a)(13); see (a)(14) |
| **Rate resubmission** | no dealer shall declare a retail rate for parts or labor or both more than once in one calendar year. Sample: 100 ROs or 90 days (fewer of the two samples); ROs <= 180 days old. Excluded: Discounted / promotional, Routine maintenance, Tires, Prep / reconditioning, Other (see text). | § 10-1-641(a)(2)(C); see (a)(2)(D), (F) |
| **Mfr response** | 30 days; no response = approved: no rule in statute. Challenge: The franchisor must reasonably substantiate that the rate 'is unreasonable in light of the practices of all other similarly situated franchised motor vehicle dealers in a comparable geographic area in this state offering the same line-make vehicles'. The prin… Forum: Petition to the state revenue commissioner (Department of Revenue) wi…. | § 10-1-641(a)(2)(C) |
| **Penalties** | Petition to the Department of Revenue, or a court action for damages equal to 'the greater of (1) the actual pecuniary loss or (2) three times the actual pecuniary loss, not to exceed $750,000.00', plus costs, reasonable attorney's fees and equitable or injunctive relief. The burden shifts on a prima facie showing. Punitive damages for… | O.C.G.A. §§ 10-1-623, 10-1-666, 10-1-667 |
| **Audit procedures** | Audit climate score 44/100 (High restrictiveness; chargeback limits 42/75 + process and oversight 2/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: no; response period: 30 days; internal appeal: no; held pending appeal: yes; extrapolation: silent; clerical-error protection: yes; rate validation: broader or no procedure. | |

## Statute quotes

***Claims*** *(§ 10-1-641(b)(2); see § 10-1-662(a)(14)-(15)): "any claim not specifically disapproved in writing within 30 days after the receipt shall be construed to be approved and payment must follow within 30 days."*

***Chargebacks*** *(§ 10-1-662(a)(13); see (a)(14)): "To conduct an audit, investigation, or inquiry of any dealer or dealership as to any activity, transaction, conduct, or other occurrence which took place more than one year prior to such audit, investigation, or inquiry"*

***Rate*** *(§ 10-1-641(a)(2)(C); see (a)(2)(D), (F)): "The retail rate for labor shall be calculated by determining the dealer's total labor sales from the submitted repair orders and dividing that amount by the total number of hours that generated those sales."*

***Factory time*** *(§ 10-1-641(a)(1)(D)): "Time allowances for the diagnosis and performance of such work and service shall be reasonable and adequate for the work to be performed."*

## Notes

The 30-day claim rule in (b)(2) ('All such claims...') follows the recall sentence in (b)(1). (d)(7) treats it as the warranty-claim standard, but its literal antecedent is recall claims. The labor-rate subparagraph (a)(2)(C) has NO deemed-approval sentence; only the parts subparagraph (B) says a rate not disapproved in 30 days is 'deemed approved'. Hence deemed_approved_if_no_response = null. Time allowances must be 'reasonable and adequate' ((a)(1)(D)). § 10-1-645 allows a uniform time-standards manual. Stop-sale compensation is 1%/month ((d)). Current text was read on Justia through the browser (2025 Code of Georgia).

Source: mirror · https://law.justia.com/codes/georgia/title-10/chapter-1/article-22/part-3/section-10-1-641/ · Confidence: medium. Public-source research summary for audit planning, not legal advice. No company-approved rates. Confirm against the cited statute; escalate disputes to Legal.